a few stocks that are likely to produce above-average returns over the long haul, concentrate the bulk of your investments in those stocks, and have the fortitude to hold steady during any short-term market gyrations.

The Warren Buffett tenets, if followed closely, lead inevitably to good companies that make sense for a focus portfolio. The companies chosen will have a long history of superior performance and a stable management, and that stability points toward a high probability that they will perform in the future as they have in the past. That is the heart of focus investing: concentrating your investments in companies with the highest probability of above-average performance. (Probability theory, which comes to us from the field of mathematics, is one of the underlying concepts that make up the rationale for focus investing. We will learn more about probability theory later in this chapter.)

Remember Buffett's advice to a "know-nothing" investor, to stay with index funds? What is more interesting is what he said next: "If you are a know-something investor, able to understand business economics, and can locate five to ten sensibly priced companies that possess important long-term competitive advantages, conventional diversification makes no sense for you."[4]

What's wrong with conventional diversification? For one thing, it greatly increases the chances that you will buy something you don't know enough about. "Know-something" investors, applying the Buffett tenets, would do better to focus their attention on just a few companies—five to 10, Buffett suggests. For the average investor, a legitimate case can be made for investing in 10 to 20 companies.

As we know from Chapter 2, Buffett's thinking was greatly influenced by Philip Fisher, and we clearly see Fisher's hand in this area—portfolio management. Fisher was known for his focus portfolios; he always said he preferred owning a small number of outstanding companies that he understood well, rather than a large number of average companies, many of which he understood poorly. As we have seen, Fisher generally limited his portfolios to fewer than 10 companies, of which three or four represented 75 percent of the total investment.

Fisher's influence on Buffett can also be seen in his belief that the only reasonable course, when you encounter a strong opportunity, is to make a